



INTERVIEW RAHUL KANWAL

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“This country [has] consistently disappointed the optimist and the pessimist. The pessimists have been proven wrong. My hope is that the optimists aren’t proved wrong as well... The government needs to introspect why private investment is not picking up”

are at greater threat than the more routine function jobs, whereas earlier, the automation threat was much more for blue-collar jobs. But I remain relatively optimistic that humans know how to navigate these issues. The bigger challenge is, of course, for places like India and China. The most shocking statistic about China today: its youth unemployment rate is over 20 per cent.

Q: Many analysts said the Chinese economy would bounce back on the back of the pandemic. But recent growth numbers from China seem to suggest that corporate growth is struggling. Is China facing a temporary blip?

A: I think China’s growth rate had already been slipping consistently over the last 15 years. In the

2000s, the Chinese economy grew at a rate of 10 per cent; last decade, the economy grew at a rate of 6 per cent; in the coming decade, my projection is the Chinese economy will grow at a rate of 2.5-3 per cent every year... China’s population growth is declining. In the history of economic development, there has never been a country that has been able to grow at a rate of even 2 per cent, when its population growth is declining. Two, China’s debt level today is higher as a share of its economy than even the US. I think those demographics and debt dynamics are likely to handicap China’s economic growth rate. Therefore, I don’t see the Chinese economy, on a trend basis, growing at a rate of more than 2.5-3 per cent. This year it’s expected to grow at 5 per cent, but that’s as per official data.

Q: But China is becoming kind of anti-capitalism...

A: I think this is where India needs to draw a lesson. That China did very well when

it was supportive of foreign investment... And now China has totally vacated that space... When China was booming, it was attracting FDI of 3-4 per cent of GDP. Now, it doesn’t do, I think, even 1 per cent. I think that’s where India needs to learn that, ‘Okay, this is what China did right. This is what it’s doing wrong. Now, how do we offer an alternative?’ And as I said, the biggest thing I’d like to see in India today is for the state to rein in its various arms. Now, you can argue that the random targeting is happening because of some political motivation... But I think what’s very important for the government to realise is that this has major collateral damage, as far as private investment is concerned.

Q: For two-and-a-half decades, you were at Morgan Stanley as a global investor. Now you’re doing your own gig. Are you enjoying your entrepreneurial journey?

A: It’s an evolution. As someone said, that being at these firms is like being in university. Beyond a point, you have to graduate. I think investing is very much about a person setting out on their own after a point in time. So, I see it as a natural progression. I had a great learning there at Morgan Stanley, and now I feel that for the next 25 years, hopefully, this is the way to go. **BT**

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